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Online Retail • OD5097

Online Women's Clothing Sales in the US

Dressed to impress: Increased consumer purchasing power will drive growth

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About

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About This Industry

Definition

The Online Women's Clothing Sales industry includes internet-only retailers and brick-and-mortar stores with online operations. These retailers sell a wide selection of women's and junior apparel, catering to diverse consumer tastes and styles.

Codes

2022	458110-Clothing and Clothing Accessories Retailers
2017	454110-Electronic Shopping and Mail-Order Houses

What's Included

- Selling women's clothing tops online
- Selling women's clothing bottoms online
- Selling women's dresses online
- Selling women's outerwear online
- Selling women's accessories and other women's clothing items online

Companies

- Amazon.Com, Inc.
- Macy's, Inc.

Related Industries

Domestic industries

Competitors

- Women's Clothing Stores in the US
- Department Stores in the US

Complementors

- Women's & Children's Apparel Wholesaling in the US
- E-Commerce & Online Auctions in the US

International industries

- Global Apparel Manufacturing
- Women's Clothing Stores in Canada
- Clothing Retailing in Australia
- Clothing Retailing in New Zealand
- Clothing Retailing in the UK

Related Terms

BRICK-AND-MORTAR

A store that has a physical presence and location, as opposed to an online retailer.

SEARCH ENGINE OPTIMIZATION (SEO)

The process of improving a website or web page's visibility in search engines.

E-TAILER

A retailer that primarily sells goods and services via the internet. Many of these companies do not have physical store fronts.

Additional Resources

- US Bureau of Labor Statistics
- National Retail Federation
- US Census Bureau

At a Glance

Revenue	$61.8bn	'20-'25	↑ 2.8 %
		'25-'30	↑ 2.5 %
Employees	178k	'20-'25	↑ 8.5 %
		'25-'30	↑ 4.4 %
Businesses	61,150	'20-'25	↑ 9.3 %
		'25-'30	↑ 6.7 %
Profit	$3.0bn	'20-'25	↓ 7.6 %
Profit Margin	4.8%	'20-'25	↓ 3.4 pp
Wages	$3.6bn	'20-'25	↑ 5.5 %
		'25-'30	↑ 4.0 %

Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue	Market Share
Amazon.Com, Inc.	$6.6bn	10.7%
Macy's, Inc.	$2.2bn	3.5%
Other Companies	$53.0bn	85.8%

Products and Services

Item	Revenue	Market Share
Tops	$18.9bn	30.6%
Bottoms	$12.8bn	20.7%
Dresses	$9.0bn	14.5%
Outerwear	$5.2bn	8.4%
Accessories and Other	$15.9bn	25.8%

Key External Drivers

Key External Drivers	Impact
E-commerce sales	Positive
Consumer spending	Positive
Per capita disposable income	Positive
Number of adults aged 20 to 64	Positive

Key Takeaways

Performance

- Fast fashion drives rapid growth in online women's clothing sales. Younger shoppers seek instant trend adoption via social media, driven by affordability and frequent turnover, despite environmental and ethical criticisms associated with fast fashion practices.
- Rising incomes will drive growth in online clothing retailers. As disposable income climbs, consumers are more likely to invest in mid-to-premium clothing, offering significant opportunities for e-commerce platforms to enhance sales and customer loyalty through strategic offerings and targeted marketing.

Products and Markets

- Tops are the most frequently purchased clothing item. This is because of their versatility, evolving style trends and relative affordability, encouraging women to purchase new tops each season.
- The largest online women's clothing retailer market is composed of consumers aged 34 and younger. These consumers are more tech-savvy and retailers often target them through social media advertisements.

SWOT

Strengths	Low & Increasing Barriers to Entry
	Growth Life Cycle Stage
	Low Imports
	Low Customer Class Concentration
	Low Product/Service Concentration
Weaknesses	Low & Steady Level of Assistance
	High Competition
	Low Profit vs. Sector Average
	High Capital Requirements
Opportunities	Very High Revenue Growth (2005-2025)
	High Revenue Growth (2020-2025)
	High Revenue Growth (2025-2030)
Threats	Low Outlier Growth
	Low Performance Drivers
	Consumer spending

Industry Structure

Characteristic	Level	Trend
Concentration	Low	
Barriers To Entry	Low	Increasing
Regulation and Policy	Moderate	Increasing
Life Cycle	Growth	
Revenue Volatility	Moderate	
Assistance	Low	Steady
Competition	High	Increasing
Innovation	Moderate	

Executive Summary

Dressed to impress: Increased consumer purchasing power will drive growth

The Online Women's Clothing Sales industry has surged in recent years, riding on the broader wave of growth in the e-commerce sector. An increasing number of consumers are embracing online shopping, moving away from traditional brick-and-mortar stores. This shift has been underpinned by growing comfort levels with digital platforms and favorable economic conditions, such as rising disposable income and consumer spending, all of which have contributed to a robust expansion in online sales. The industry's revenue has grown at a CAGR of 2.9% over the past five years and is expected to total $61.8 billion in 2025, when revenue will climb by an estimated 2.8%.

The advent of smartphones and improved internet connectivity has brought digital shopping closer to consumers, resulting in a significant climb in sales. Also, social media penetration has opened up new avenues for online retailers to target their audience with personalized marketing strategies; this, combined with an increasingly fashion-conscious female population, has driven online clothing sales. However, the landscape has become more competitive, with traditional retailers venturing into the online space to recapture their market share. This shift has primarily been driven by low entry barriers, leading to an increase in the number of new companies entering the market. Consequently, intensified price competition and rising operational costs have compressed profit, with industry profitability declining as retailers prioritize market share over sustainable earnings.

The industry will continue its upward trajectory. One of the drivers for this growth will be the advent of new technologies like Augmented Reality (AR), Virtual Reality (VR) and Artificial Intelligence (AI), which will revolutionize online shopping by providing immersive and personalized experiences to consumers. Nonetheless, the industry must grapple with challenges associated with sustainability demands, data privacy issues and the continuous inflow of new companies, which will inevitably intensify competition. To remain competitive, online retailers will need to employ more sophisticated marketing strategies and prioritize providing an exceptional shopping experience for consumers. Over the next five years, revenue will hike at a CAGR of 2.5% to reach an estimated $69.8 billion in 2030.

Performance

Key Takeaways

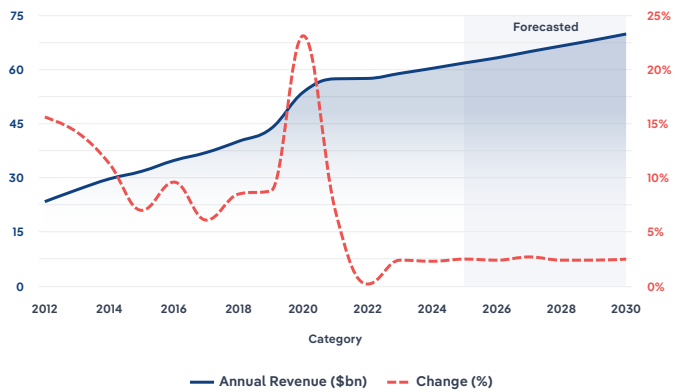
Fast fashion drives rapid growth in online women's clothing sales. Younger shoppers seek instant trend adoption via social media, driven by affordability and frequent turnover, despite environmental and ethical criticisms associated with fast fashion practices.

Rising incomes will drive growth in online clothing retailers. As disposable income climbs, consumers are more likely to invest in mid-to-premium clothing, offering significant opportunities for e-commerce platforms to enhance sales and customer loyalty through strategic offerings and targeted marketing.

Performance Snapshot

Revenue

Total value ($) and annual change from 2012 – 2030. Includes 5-year outlook.



Revenue

$61.8bn

'20-'25 ↑ 2.8 %

'25-'30 ↑ 2.5 %

2025 Revenue Growth

2.5 % Increasing

Revenue Volatility

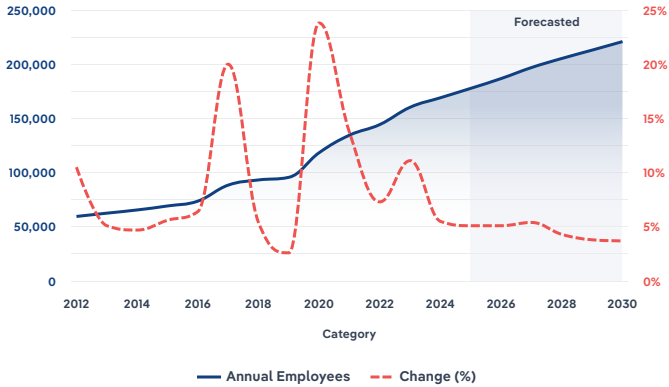
Moderate

IBISWorld

Source: IBISWorld

Employees

Total number of employees and annual change from 2012 – 2030. Includes 5-year outlook.



Source: IBISWorld

Employees

178k

'20-'25 ↑ 8.5 %

'25-'30 ↑ 4.4 %

Employees per Business

3

'20-'25 ↓ 0.7 %

'25-'30 ↓ 2.1 %

Revenue per Employee

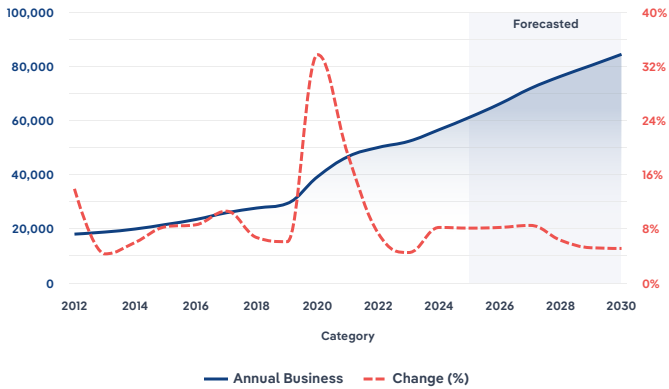
$347k

'20-'25 ↓ 5.2 %

'25-'30 ↓ 1.9 %

Business

Total number of businesses and annual change from 2012 – 2030. Includes 5-year outlook.



Source: IBISWorld

Businesses

61,150

'20-'25 ↑ 9.3 %

'25-'30 ↑ 6.7 %

Employees per Business

3

'20-'25 ↓ 0.7 %

'25-'30 ↓ 2.1 %

Revenue per Business

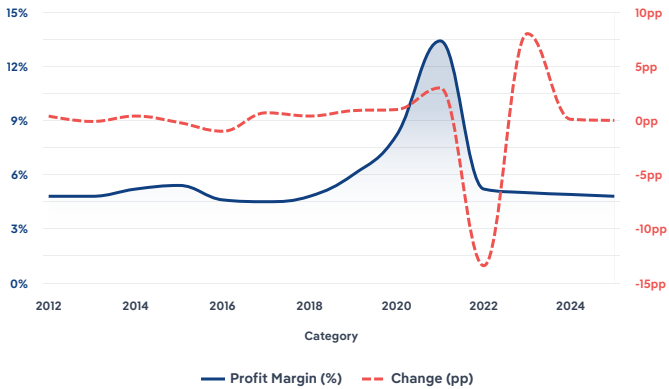
$1.0m

'20-'25 ↓ 5.9 %

'25-'30 ↓ 3.9 %

Profit Margin

Total profit margin (%) and annual change from 2012 – 2030



Total Profit
$3.0bn '20-'25 ↓ 7.6 %

Profit Margin
4.8% '20-'25 ↓ 3.4 pp

Profit per Business
$48,472

IBISWorld

Source: IBISWorld

Current Performance

↑ 2020-25 Revenue CAGR +2.8%

What's driving current industry performance?

Fast fashion drives online women's clothing sales surge through rapid trend turnover and affordability

- Fast fashion brands like SHEIN, Fashion Nova, Zara and H&M dominate online women's clothing sales by releasing trend-led designs at extremely low prices, encouraging frequent purchases from budget-conscious shoppers. SHEIN alone pushes thousands of new SKU listings weekly, creating an addictive discovery cycle that keeps consumers returning to browse ever-changing, affordable product assortments.
- Younger demographics, particularly Gen Z and younger Millennials aged 16–30, propel the industry through their social media-driven shopping behaviors and desire for instant trend adoption. TikTok fashion hauls, influencer endorsements, and Pinterest inspiration boards make discovering new looks effortless and fast fashion retailers satisfy this demand quickly, without requiring major financial commitments or long-term wardrobe investments.
- The "dopamine fashion" effect reinforces repeat buying as inexpensive purchases provide immediate emotional boosts while allowing creative exploration. Despite criticism of environmental and ethical implications, consumers continue balancing conscience with cost. Simultaneously, brands improve logistics and localization—SHEIN's US warehouses, Zara's adaptive distribution and H&M's regional design—to sustain growth and meet evolving global tastes efficiently.

Social shopping features drive instant purchases in women's fashion through Instagram and TikTok Shopp

- Instagram Shopping and TikTok Shop integrate discovery, evaluation and purchase within their platforms, transforming social media into seamless e-commerce spaces. Shoppable posts, in-feed ads and influencer-driven purchase links have shortened buying cycles to seconds, fostering impulse purchasing among younger women who frequently engage with visual, trend-driven fashion content across these highly interactive digital environments.
- Algorithmic personalization delivers fashion ads at precise moments of highest buying intent by analyzing behavioral metrics, such as browsing patterns, search history, engagement and device type. This data-driven precision enables brands to allocate ad spend efficiently and ensure users receive offers that align with their preferences, maximizing conversion rates and reinforcing fast-paced, emotion-driven purchase behaviors.
- Influencer marketing and user-generated content are key components of social commerce strategies, as peer recommendations consistently outperform traditional advertising among younger audiences. Micro-influencers generate stronger engagement and affordable conversions, enabling broad retailer participation. Tagged photos, outfit try-ons and community-driven uploads create organic visibility and social proof, continually amplifying brand reach while merging authenticity with direct, on-platform purchase incentives.

Escalating promotional intensity reshapes the online fashion retail landscape

- Intense competition across the women's online fashion market has driven unprecedented promotional activity, with thousands of new entrants on platforms like Shopify fragmenting the marketplace. The resulting saturation has made customer acquisition costly, pushing established and emerging brands alike to rely more heavily on frequent sales, influencer campaigns and aggressive discount strategies to maintain visibility and conversions.
- Retailers have normalized continuous promotional calendars filled with flash deals, influencer codes and weekly discounts, erasing the distinction between special sales events and everyday pricing. Black Friday and Cyber Monday now extend into months-long sales cycles, training consumers to expect deep, regular discounts while diluting urgency and eroding retailer profit in the process of chasing short-term revenue boosts.
- Incentives such as lower free shipping thresholds, bundle savings and loyalty rewards have become vital competitive tools, squeezing profit while intensifying price-driven behavior among shoppers. Retailers face a growing divide between bargain hunters who buy only with discounts and loyal customers who prioritize brand experience, making customer retention and profitability increasingly difficult in a hyper-promotional, discount-driven market.

Consumer demand for sustainability has reshaped industry practices

- Sustainability has shifted from a marketing option to a market expectation, driven by Gen Z and Millennial consumers who value ethical production and environmental stewardship. Brands now publicly commit to sustainability goals to maintain credibility, with PwC's 2024 survey confirming younger demographics are willing to pay more for garments produced responsibly and with verified eco-conscious credentials.
- Transparency has become a non-negotiable requirement in fashion supply chains, as consumers demand insight into production sites, labor practices and the origins of raw materials. Brands like Everlane have pioneered open manufacturing disclosure, while technologies such as blockchain and QR authentication enable customers to track garments' full lifecycle, ensuring companies can substantiate their sustainability claims and avoid charges of greenwashing.
- Textile innovation and circular fashion models now underpin strategic evolution in the retail sector. Companies are adopting recycled polyester, organic cotton and bio-based fabrics, such as mushroom leather, to meet their sustainability commitments. Meanwhile, reselling and rental markets, facilitated by platforms like ThredUp and Rent the Runway, are expanding rapidly. Traditional retailers are embracing resale to extend product lifespans and align with low-impact consumer preferences.

Volatility

Moderate

What influences industry volatility?

Changes in fashion trends and seasonality create volatility

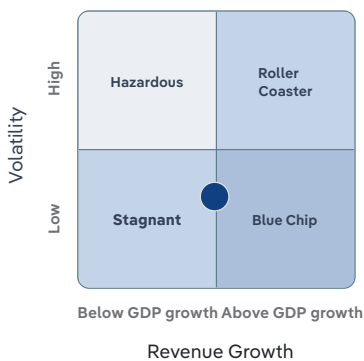
- Rapid changes in fashion trends drive online women's clothing sales by encouraging consumers to frequently purchase the latest styles. However, this swift turnover can also result in unsold inventory, as items quickly become outdated, leading to potential financial losses for retailers.
- Seasonal factors significantly impact sales patterns. During the winter, demand for higher-priced items, such as coats and sweaters, can lead to spikes in revenue. Conversely, summer often sees a demand for less expensive items, such as shorts and skirts, resulting in a different sales dynamic and potential revenue dips.

Fluctuating raw material costs and tariffs impact wholesalers' volatility

- The rising costs of materials, such as leather, synthetic fibers and cotton, play a significant role in the financial dynamics of the online women's clothing sales industry. Manufacturers often pass these increased expenses on to retailers, who then face challenges in deciding whether to absorb the costs or pass them on to consumers. This predicament can cause instability in revenue streams and impact overall profitability.
- The imposition of new tariffs on imports is worsening the situation for the clothing manufacturing industry. A 145.0% tariff on imports from China and other countries, like India, is increasing production costs. This may result in higher prices for online retailers, ultimately impacting market demand and causing fluctuations.

Stagnant

Industry volatility vs. revenue growth (2021-2026 CAGR)



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Source: IBISWorld

Key Success Factors

How do successful businesses overcome volatility?

Control inventory

Using data analytics to predict trends, implementing just-in-time inventory systems, diversifying suppliers and maintaining agile supply chain practices to quickly adjust stock levels helps overcome inventory volatility in online women's clothing sales.

Develop a strong market profile

Developing a strong market profile involves robust market research, targeting specific customer segments, diversifying offerings, building brand loyalty, leveraging data analytics and maintaining agility to adapt to market changes to overcome volatility.

Outlook

↑ 2025-30 Revenue CAGR +2.5%

What's driving the industry outlook?

Rising disposable incomes will drive online women clothing retailers' growth through premium consumer demand

- Per capita disposable income is expected to climb 1.8% in 2026 and reach 2.2% by 2030. This upward shift in consumer purchasing power creates a stronger foundation for online women's clothing retailers by directly expanding the pool of shoppers able and willing to spend more on clothing, particularly in the mid-to-premium segments
- With rising disposable incomes, shoppers will increasingly view clothing as functional necessities and lifestyle statements. This trend presents opportunities for online retailers to capture discretionary demand, as more flexible budgets make consumers receptive to experimenting with varied styles, seasonal designs and higher-end brands—ultimately driving adoption, stronger sales penetration and sustained profit growth.
- Online shoe retailers should strategically respond to projected income growth by diversifying offerings, elevating personalization and running targeted campaigns that highlight value-added clothing options. By aligning products with consumers' enhanced ability to spend, e-commerce players can accelerate product adoption, drive higher conversion rates and strengthen customer loyalty in a competitive digital marketplace.

Mobile shopping will continue to redefine engagement, retention and personalization through evolving digital behaviors

- Mobile shopping will continue to dominate online retail as smartphones become the default purchasing channel for apparel. Younger consumers, particularly Gen Z, will drive engagement through fast, visually driven browsing and instant checkout. Retailers optimizing for vertical scrolling, high-quality imagery and simplified interfaces will capture consistent traffic and achieve higher conversion rates compared to traditional desktop-driven e-commerce sites.
- Retailers will accelerate investment in native apps and progressive web experiences to strengthen brand loyalty and conversion performance. Apps will offer tailored promotions, push notifications, secure stored payment options and augmented reality try-ons. These features will enhance purchase confidence, reduce returns and significantly improve customer lifetime value, as convenience increasingly defines the competitive advantage in online fashion and lifestyle markets.
- Social media platforms will evolve into full-fledged commerce ecosystems, seamlessly merging inspiration and transactions. Influencer-driven product discovery, embedded checkout flows and frictionless mobile payments will make content consumption nearly indistinguishable from shopping. Integrations with digital wallets and buy-now-pay-later options will remove barriers to purchase, enabling faster decisions and higher sales volume across mobile-first shopping environments.

Big data and AI will redefine competitive success in digital retail markets

- Big data and artificial intelligence will revolutionize online women's clothing retail over the next decade as competition intensifies across omnichannel markets. Retailers will implement predictive analytics, machine learning, personalization and automation to transform consumer engagement. Companies failing to integrate these technologies will lose customers to data-driven competitors offering curated experiences, adaptive pricing and enhanced service responsiveness through AI-powered digital ecosystems designed for continual optimization.
- Predictive analytics and machine learning algorithms will empower retailers to deliver hyper-personalized shopping experiences beyond traditional marketing limits. Each consumer will see unique product assortments, pricing and content based on behavioral, demographic and contextual data streams. Advanced recommendation technologies will analyze browsing history, abandoned carts and preferences to increase conversions, tailoring every interaction toward individualized satisfaction and revenue efficiency within evolving consumer demand patterns.
- Retailers will deploy AI-driven customer service and marketing automation systems that reshape digital interactions. Conversational AI will manage routine inquiries, freeing human agents to focus on complex issues, while advertising optimization tools will adjust budgets and creative assets in real-time. Dynamic pricing and demand forecasting models will further refine operations, balancing profitability, transparency and trust in an increasingly data-competitive retail environment.

New entrants will Intensify competitive pressures across online fashion retail markets

- The online women's clothing market will experience relentless expansion as new entrants continue flooding the sector, empowered by low entry barriers and turnkey platforms like Shopify and BigCommerce. The proliferation will fragment market share, accelerate price-based competition and intensify promotional efforts as emerging retailers adopt strategies such as free shipping, easy returns and discount-driven customer acquisition.
- Price-based competition will escalate sharply as inexperienced new entrants will prioritize discounts to secure visibility, triggering industry-wide margin compression. Established retailers will be forced to respond with aggressive promotions, deep discounts and loyalty incentives. This battle for customer attention will drive chronic markdown cycles, erode profitability and undermine sustainable full-price selling among

most brands except high-prestige labels.

- Customer service excellence and workforce quality will define competitive differentiation as retailers will invest heavily in support talent, training and personalized experiences. Superior interaction, swift returns and responsive service will build loyalty despite price parity across stores. Companies mastering experiential excellence will dominate retention metrics, while others will struggle to maintain relevance in oversaturated, discount-driven marketplaces.

Life Cycle

Growth

Why is the industry growing?

Contribution to GDP

The online women's clothing sales industry makes a significant contribution to GDP by driving e-commerce growth, consumer spending, and employment across the technology, logistics and retail sectors. As one of the largest online retail categories, the industry generates billions of dollars in annual revenue while supporting ancillary services, including digital marketing, payment processing, warehousing and last-mile delivery infrastructure.

Market Saturation

The industry is highly saturated with numerous companies ranging from pure-play fashion retailers to marketplace giants like Amazon, SHEIN and established department stores with robust e-commerce platforms. This intense competition results in diverse consumer buying options spanning price points, styles and shopping experiences, while simultaneously pressuring profit margin, driving promotional activity and forcing operators to differentiate through specialized niches to capture market share.

Innovation

Retailers are strongly investing in big data analytics and artificial intelligence to personalize customer experiences and optimize operations. These technologies enable dynamic product recommendations based on browsing history, predictive inventory management, virtual fitting tools, targeted email campaigns and customized homepage displays tailored to individual preferences.

Consolidation

Larger online women's clothing retailers are increasingly acquiring smaller brands to enhance their market presence, expand their product portfolios and capture niche customer segments. This wave of consolidation enables acquirers to leverage existing infrastructure, achieve economies of scale in purchasing and logistics, cross-promote brands to established customer bases and eliminate competition.

Technology & Systems

Advancements in supply chain management, augmented reality fitting rooms and mobile commerce are revolutionizing the industry by enhancing operational efficiency and customer experience. Real-time inventory tracking systems optimize stock levels, AR virtual try-on technology reduces return rates by helping consumers visualize fit and style before making a purchase and mobile-optimized shopping apps enable seamless browsing and one-click checkout.

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries

*Growth is based on change in share of economy combined with change in establishment numbers

Source: IBISWorld

Products and Markets

Key Takeaways

Tops are the most frequently purchased clothing item. This is because of their versatility, evolving style trends and relative affordability, encouraging women to purchase new tops each season.

The largest online women's clothing retailer market is composed of consumers aged 34 and younger. These consumers are more tech-savvy and retailers often target them through social media advertisements.

Largest Market
$18.9bn Tops

Product Innovation
Moderate

Products and Services

How are the industry's products and services performing?

Tops remain stable as style trends continuously change

- The tops category encompasses blouses, T-shirts, sweaters, cardigans, tank tops and casual knits, collectively representing the highest-volume product segment in online women's clothing sales. These versatile garments serve as wardrobe foundations that pair with multiple bottoms, making them essential repeat purchases across seasons and occasions.
- Rapid style evolution in tops drives frequent purchasing cycles as consumers refresh their wardrobes to reflect current trends in necklines, sleeve styles, prints and silhouettes. For example, fashion trends shift from off-shoulder styles to puff sleeves, from cropped lengths to oversized fits, and from solid colors to bold patterns, occurring seasonally. This encourages trend-conscious shoppers to continuously update their collections. Online retailers like SHEIN, Zara and Fashion Nova capitalize on this by introducing hundreds of new top styles weekly, creating urgency through limited inventory and social media marketing that positions tops as affordable ways to experiment with emerging trends without significant financial commitment.
- The relatively low price point and frequent wear cycle of tops make them ideal impulse purchases and items for building online shopping carts for retailers. Many consumers add multiple tops to orders to reach free shipping thresholds or take advantage of promotional bundles like "Buy 3, Get 1 Free" offers commonly featured by brands like Old Navy, Target and Amazon Fashion. Basic tees, camis and everyday blouses experience high repeat purchase rates as consumers replace worn items or stock up on wardrobe staples in multiple colors, generating consistent baseline revenue that cushions retailers against seasonal demand fluctuations in other categories.
- Casualization trends in workplace dress codes and lifestyle changes have accelerated demand for comfortable, versatile tops that transition across multiple settings. The shift toward business casual and remote work environments has reduced demand for structured, formal blouses, while increasing sales of knit tops, elevated T-shirts and casual sweaters that balance professionalism with comfort. Brands like Everlane, Madewell and Athleta successfully target this market by offering refined basics and elevated casual tops in premium fabrics that consumers wear to offices, weekend activities and video calls, reflecting evolving definitions of appropriate attire that prioritize versatility and all-day wearability over traditional formality.

Consumers are increasingly purchasing bottoms, particularly high-end jeans

- The bottoms category includes jeans, dress pants, casual trousers, skirts, shorts and leggings that have experienced growing demand as casualization reshapes workplace and social dress codes. Evolving professional standards increasingly accept well-styled denim and polished casual pants as suitable office attire, expanding the occasions on which these garments are worn beyond weekends and social settings.
- Premium denim has emerged as a particularly strong growth driver, with consumers willing to pay $150-$300 for high-quality jeans from brands such as Madewell, AG Jeans, Paige and Mother Denim. These elevated denim brands offer superior fabric quality, flattering fits, thoughtful construction details, and on-trend styling that justifies premium pricing compared to mass-market alternatives.
- Fit diversity and body inclusivity have become critical competitive factors as online retailers expand size ranges and offer multiple silhouettes within bottoms categories. Consumers increasingly expect options beyond traditional sizing, including petite, tall, curvy, and plus-size fits, which are specifically designed for different body proportions rather than simply scaled-up versions. Brands like Universal Standard, Good American and Eloquii have built strong followings by prioritizing inclusive sizing from 00-40.
- The athleisure movement has blurred the boundaries between activewear and everyday bottoms, driving substantial growth in leggings, joggers and hybrid styles suitable for multiple contexts. Brands like Alo, Lululemon, Athleta and Outdoor Voices have successfully positioned technical leggings and comfortable pants as suitable for errands, casual Fridays, travel, and social activities beyond just workouts. This category appeals particularly to consumers who prioritize comfort and functionality without

sacrificing style. Features like four-way stretch fabrics, hidden pockets, and moisture-wicking properties make these bottoms practical for busy lifestyles, while maintaining a polished appearance suitable for various settings beyond the gym.

Expenditure on dresses tends to be consistent

- The dresses category encompasses casual day dresses, cocktail attire, formal gowns, maxi dresses and work-appropriate styles that maintain steady demand across seasons despite fluctuating fashion trends. This segment benefits from dresses serving as complete outfit solutions that require minimal styling effort, compared to coordinating separates, making them appealing to time-constrained consumers seeking effortless polish.
- Event-driven purchasing creates predictable demand spikes throughout the year as consumers need dresses for weddings, graduations, holidays, vacations and social gatherings. The wedding season, from May through October, generates substantial sales of cocktail dresses and semiformal attire, while December holiday parties drive purchases of velvet, sequined and elegant dresses. Retailers like Lulus, Rent the Runway and Nordstrom strategically market occasion-specific dress collections timed to these events, offering filtering options.
- Rapidly changing dress trends in silhouettes, prints and styling details encourage frequent purchases as fashion-conscious consumers update their collections each season. Trending elements like puff sleeves, cutout details, floral prints, midi lengths, or wrap styles cycle through popularity, prompting consumers to acquire new dresses that reflect current aesthetics, even when existing options remain functional. Fast fashion retailers like SHEIN, Zara, and Fashion Nova capitalize on this by introducing dozens of new dress styles weekly at accessible price points of $25-$60, positioning dresses as affordable trend experimentation purchases rather than long-term wardrobe investments, which drives higher transaction frequency among younger demographics.

Casual wear popularity decreases suit purchases, a prominent part of outerwear

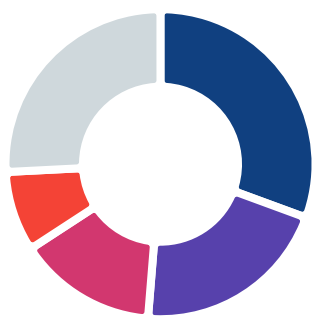
- The outerwear category encompasses jackets, blazers, coats, suits and vests that serve functional weather protection and style purposes, though demand varies significantly by subcategory and geographic region. Winter coats, puffer jackets and parkas drive concentrated sales during fall and winter months, particularly in northern states experiencing cold weather, while lightweight blazers, denim jackets and transitional pieces maintain steadier year-round demand.
- Retailers report a drop in suit sales, while seeing growth in unstructured blazers, knit jackets and elevated cardigans that provide professional polish without formal rigidity. Brands like Theory and Everlane have adapted by offering deconstructed blazers and separates that coordinate without matching exactly, reflecting contemporary preferences for polished yet flexible workwear.
- Seasonal concentration drives strong outerwear sales from September to December. Retailers promote coats and jackets to capture fall and winter demand, particularly in cold northern states, where consumers need insulated parkas and wool coats. Online sellers use geographic targeting, while southern areas favor lighter jackets and transitional layers year-round.
- Athleisure and hybrid jackets are expanding the outerwear segment as consumers prioritize comfort and versatility over formality. Performance styles from leading brands blend activewear and everyday use, using technical fabrics and subtle features. Puffer, bomber and utility jackets reflect growing demand for functional yet stylish cold-weather options.

Accessories and other items grow as consumer preferences shift

- This category encompasses intimates, including bras, underwear, shapewear and sleepwear, as well as accessories such as handbags, scarves and jewelry, creating strong, high-margin opportunities. Intimates drive repeat purchases, while accessories boost outfit updates. Brands like ThirdLove and Aerie succeed through inclusive sizing and affordable direct sales.
- Accessories deliver high-margin add-on sales that raise order values and enable affordable style updates. Handbags and wallets attract investment in premium brands because of their longevity and status, while jewelry, scarves and belts refresh looks seasonally. Online retailers upsell accessories by pairing them with related clothing purchases.
- Seasonal accessories like scarves, hats and cold-weather gear experience concentrated demand during fall and winter months, particularly in northern regions, while year-round categories like handbags, sunglasses and jewelry maintain steady sales, offsetting these fluctuations. Summer accessories, including straw hats, beach bags and sunglasses, drive warm-weather purchases, creating balanced seasonal performance across the broader accessories category.
- Subscription services and curated accessory boxes have emerged as innovative business models within this segment, with companies like Rocksbox offering jewelry rentals and FabFitFun including accessories in seasonal lifestyle boxes, introducing consumers to new brands while generating predictable recurring revenue streams for retailers beyond traditional transactional purchasing patterns.

Products & Services Segmentation

Industry revenue in 2025 broken down by key product and service lines.



- Tops ($18.9bn) 30.6%
- Bottoms ($12.8bn) 20.7%
- Dresses ($9.0bn) 14.5%
- Outerwear ($5.2bn) 8.4%
- Accessories and Other ($15.9bn) 25.8%

IBISWorld

Source: IBISWorld

What are innovations in industry products and services? Moderate

AI-powered personalization transforms online women's fashion by predicting style trends and improving shopping journeys

- Retailers increasingly rely on artificial intelligence to deliver data-driven personalization for women's online fashion. Advanced algorithms analyze browsing data, purchase history and social media interactions to offer custom style suggestions. Virtual stylists and chatbots combine real-time conversation with predictive modeling, guiding shoppers seamlessly from discovery to purchase while strengthening brand loyalty and repeat sales conversion.
- By merging emotional intelligence with AI analytics, brands create more intimate and intuitive digital experiences. Customers receive fashion advice tailored to seasonal moods and individual aesthetics, fostering deeper engagement. These personalized interactions enable retailers to balance curated discovery with on-demand convenience—fundamentally reshaping how women connect with fashion online through intelligent recommendation ecosystems integrated into e-commerce platforms.

Augmented reality and circular fashion reshape online clothing through virtual try-ons and traceability

- The growing adoption of augmented reality enables shoppers to visualize their fit and style before purchase through virtual fitting rooms and AR-enabled apps. Retailers reduce return rates by showing true-to-scale garments on digital avatars. This immersive visualization enhances consumer confidence and bridges the gap between online browsing and in-person fitting, expanding brand accessibility while reducing logistical costs.
- Paired with sustainability innovation, circular fashion uses blockchain and digital passports to create transparent supply chains for ethical production. Garment resale platforms and material traceability systems give consumers confidence in origin and recyclability. As more US brands embrace eco-design and product take-back programs, sustainability and digital immersion converge, redefining trust and responsibility in women's online fashion retail.

Key Success Factors

What products or services do successful businesses offer?

Offer a competitively priced product

Offering competitively priced products through strategic pricing, bulk purchasing, efficient supply chains and regular promotions ensures affordability without compromising quality, attracting price-sensitive customers and driving success in the market.

Provide superior after-sales service

Offering hassle-free returns, prompt customer support, personalized follow-ups and loyalty rewards ensures customer satisfaction, fosters trust and encourages repeat purchases, driving success for online women's clothing retailers.

Major Markets

What's influencing demand from the industry's markets?

Consumers aged 34 and younger drive growth in women's online fashion sales

- Millennials and Generation Z consumers aged 18-34 represent the largest and most digitally engaged segment in online women's clothing sales, having grown up with e-commerce as their primary shopping method. This demographic demonstrates significantly higher online purchase frequency compared to older age groups, often browsing and buying multiple times monthly across various devices. They seamlessly transition between desktop, mobile apps and social media shopping features, expecting frictionless checkout experiences, personalized recommendations, and instant customer service through chatbots or direct messaging that established online retailers have optimized specifically for their preferences.
- Fast fashion brands like SHEIN, Zara and H&M attract young consumers seeking affordable, trendy clothing. College students and early professionals prefer styles ranging from $10 to $40 for frequent wardrobe refreshes. Their preference for low-cost variety over durability drives the growth of ultra-fast fashion, with new styles released weekly, fueling browsing addiction and impulse buying.
- Social media now drives how young consumers discover and buy fashion. Platforms like Instagram, TikTok and Pinterest act as storefronts using influencers, user content and shoppable posts. Trends like #TikTokMadeMeBuyIt and Instagram shopping tags turn scrolling into instant purchases, boosting sales and streamlining online retail experiences.

Preferences of consumers aged 35 to 54 lead to slow growth

- Women aged 35 to 54 represent a high-value demographic with established careers, peak earning potential and substantial disposable income for clothing purchases. This segment typically

occupies mid-to-senior professional roles, juggling family responsibilities and maintaining a diverse wardrobe that spans workplace attire, casual wear and special occasion clothing.

- Women aged 35–54 prefer in-store shopping for premium clothing, valuing the ability to feel fabrics, test fit and assess quality. They prefer trying on blazers, dress pants, formal wear, and denim before making a purchase. This tactile, personalized experience limits online sales growth in higher-priced fashion segments.
- Fit accuracy concerns and return hassles deter older shoppers from buying fashion online. Loyal to brands that cater to their body types, they dislike inconsistent sizing and complex return processes. For time-constrained professionals and parents, returning a $200 dress that doesn't fit feels far more taxing than visiting a reliable store.
- However, improved virtual fitting tools and flexible return policies are drawing more 35–54-year-olds to shop online. Time-pressed professionals now value convenience for basics and trusted brands. Retailers like Stitch Fix and Nordstrom succeed through personalization, size reliability and generous returns, while virtual try-ons and product videos ease fit uncertainty.

Consumers aged 55 and older prefer shopping in person

- Women aged 55 and older remain loyal to in-store shopping, valuing tactile experiences and personal service. They prefer trying on clothes, feeling fabrics and interacting with knowledgeable staff. Deep ties to department stores and boutiques make them cautious about buying unfamiliar or high-priced items online without firsthand inspection.
- Women aged 55 and older possess significant buying power and tend to prefer timeless, high-quality pieces over fast fashion. With more disposable income, they invest in well-made, classic styles suited for daily wear, travel and special occasions. Successful retailers emphasize craftsmanship, consistent sizing and high-quality materials, rather than relying on trend-driven rotation.
- Older women show strong brand loyalty, often remaining devoted to retailers that meet their quality and service standards. Once they find flattering fits and dependable service, they become repeat buyers with high lifetime value. Brands like J.Jill and Eileen Fisher build trust through consistency, styling guidance and rewarding loyalty programs.

Major Markets Segmentation

Industry revenue in 2025 broken down by key markets

- **Consumers aged 55 and older ($21.7bn)** 35.2%
- **Consumers aged 35 to 54 ($20.3bn)** 32.8%
- **Consumers aged 34 and younger ($19.8bn)** 32.0%

IBISWorld

Source: IBISWorld

International Trade

Some industries don't directly import or export goods. See reports at the manufacturing level for international trade data on relevant products.

Geographic Breakdown

Key Takeaways

Many online retailers in the West are based in California. The state's large population, tech hubs like Silicon Valley and strategic Pacific port locations benefit logistics, e-commerce growth and business establishment overall.

Strategic distribution fuels the Southeast online fashion market. Several major distribution centers are strategically located in the Southeast, reducing shipping times and costs, which allows online clothing retailers to offer faster delivery and manage inventory more effectively.

Business Locations

State	Estab. Units	Estab. %	Population %
California	1242	2.0	11.5
Florida	767	1.2	7.0
New York	590	1.0	5.8
Texas	529	0.9	9.3
Georgia	230	0.4	3.3
New Jersey	231	0.4	2.8
Illinois	220	0.4	3.7
North Carolina	209	0.3	3.3
Pennsylvania	208	0.3	3.8
Washington	187	0.3	2.3
Arizona	178	0.3	2.2
Ohio	176	0.3	3.5
Colorado	169	0.3	1.8
Utah	158	0.3	1.0
Michigan	152	0.2	3.0
Massachusetts	130	0.2	2.1
Virginia	133	0.2	2.6
Oregon	124	0.2	1.2
Missouri	113	0.2	1.8
Nevada	114	0.2	1.0
Wisconsin	116	0.2	1.7
Minnesota	112	0.2	1.7
Tennessee	110	0.2	2.1
Indiana	97	0.2	2.0
Maryland	83	0.1	1.8
South Carolina	74	0.1	1.6

State	Estab. Units	Estab. %	Population %
Alabama	54	0.1	1.5
Idaho	61	0.1	0.6
Connecticut	54	0.1	1.1
Iowa	48	0.1	1.0
Kansas	50	0.1	0.9
Kentucky	54	0.1	1.3
Oklahoma	50	0.1	1.2
Delaware	45	0.1	0.3
Louisiana	42	0.1	1.3
Arkansas	38	0.1	0.9
Nebraska	35	0.1	0.6
New Hampshire	34	0.1	0.4
Maine	29	0.0	0.4
Montana	27	0.0	0.3
Wyoming	28	0.0	0.2
Hawaii	23	0.0	0.4
Mississippi	24	0.0	0.9
New Mexico	22	0.0	0.6
Rhode Island	16	0.0	0.3
South Dakota	17	0.0	0.3
Vermont	18	0.0	0.2
West Virginia	12	0.0	0.5
Alaska	6	0.0	0.2
District of Columbia	9	0.0	0.2
North Dakota	7	0.0	0.2

You can access and download additional years of data, including district-level data, at my.ibisworld.com.

Where are industry businesses located?

Business establishments in the West benefit from California's large population and tech hubs

- California dominates the Western region's online women's clothing retail landscape because of its massive consumer market and established fashion industry infrastructure. Los Angeles serves as a major hub for fashion and apparel, with extensive design, manufacturing and distribution networks. Also, cities like San Diego, Sacramento and Portland provide substantial population centers with strong e-commerce adoption rates, creating concentrated demand that justifies regional distribution investments.
- Strategic proximity to Pacific ports delivers significant competitive advantages for Western-based online retailers sourcing inventory from Asian manufacturers. Major ports in Los Angeles, Long Beach, Oakland and Seattle handle the majority of apparel imports from China, Vietnam, Bangladesh and other key production countries. This geographic positioning reduces shipping times by one to two days or weeks compared to East Coast competitors.
- Silicon Valley and major tech hubs, such as Seattle and Austin, drive e-commerce innovation through advanced infrastructure and top talent. Online retailers gain access to engineers, data scientists and UX designers, while proximity to tech firms, cloud providers and venture capital enables seamless integrations, partnerships and scalable business growth.

Seasonal trends, strategic distribution and urbanization fuel the Southeast online fashion market

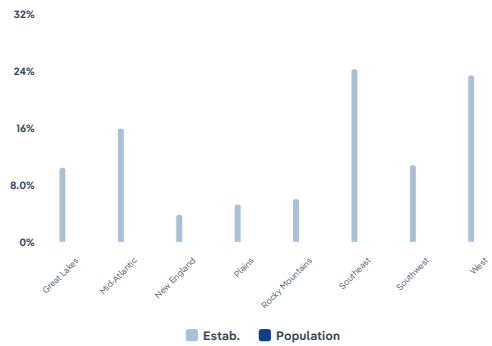
- The Southeast enjoys a warm climate almost year-round, creating a high demand for seasonal and fashionable clothing. Women in this region often seek versatile wardrobes, driving a booming market for online retailers specializing in trendy and climate-appropriate attire.
- The Southeast functions as a key logistics hub for e-commerce, serving eastern and central US markets. Distribution centers in Atlanta, Charlotte, Memphis and Jacksonville are strategically located near highways and ports. Atlanta's airport and trucking networks enable two-day delivery to most Americans, reducing shipping costs for retailers.
- Fast-growing Southeastern cities, such as Austin, Nashville, Charlotte and Raleigh, attract young, fashion-savvy professionals from coastal areas. Urbanization, rising incomes and digital engagement drive online fashion demand. Miami shapes Latin-inspired trends, while Atlanta's cultural influence boosts style adoption among millennial and Gen Z shoppers.
- The Southeast's varied climates and lifestyles drive demand for a diverse array of apparel assortments. Coastal cities favor resort and beachwear, while inland hubs like Atlanta and Dallas need business casual options. Large college populations across southern states fuel steady demand for affordable, trendy fashion among online-savvy young women.

Mid-Atlantic online women's clothing sales soar thanks to fashion capital influence

- The Mid-Atlantic corridor, spanning from Boston to Washington, DC, forms a dense and affluent consumer hub for online women's fashion. With over 50 million educated, style-conscious residents, cities like New York and Philadelphia are embracing e-commerce. Robust logistics enable rapid delivery, making online shopping rival in-store convenience and accessibility.
- New York City's status as a global fashion hub shapes Mid-Atlantic shopping trends and fuels demand for trend-driven e-commerce. Fashion Week, designer showrooms and major media outlets set regional styles. Online retailers thrive by quickly offering runway-inspired looks embraced in neighborhoods like Brooklyn, Hoboken and Georgetown.
- The Mid-Atlantic's extensive transportation networks and proximity to other major East Coast cities make it ideal for retail distribution and consumer access. This connectivity allows online women's clothing sellers to efficiently manage supply chains and reach a broader customer base.

West has the largest spread of businesses compared to its population

Share of Estab. (%) vs. share of population (%)



IBISWorld Source: IBISWorld

Key Success Factors

How do businesses use location to their advantage?

Ensure accessibility to consumers and end-users

Strategically placed warehouses, local carrier partnerships and convenient return options ensure fast delivery and easy access for consumers, enhancing customer satisfaction and overall accessibility in the online women's clothing sales market.

Operate in a location that is close to key suppliers

Online women's clothing retailers benefit significantly from operating near key suppliers by strategically locating their warehouses, leveraging local networks and using advanced inventory systems. This proximity allows faster and more efficient restocking, reduced shipping times and improved customer satisfaction.

Competitive Forces

Key Takeaways

Price and product selection are the main competitive strategies for online women's clothing sales retailers. Since consumers can easily compare online retailers, offering competitive pricing or unique, high-quality products is key to success.

Brick-and-mortar women's clothing stores and department stores offer similar products. These retailers compete with online women's clothing retailers mainly through in-person customer service.

Concentration	Competition	Barriers to Entry
Low	**High** Increasing	**Low** Increasing
Substitutes	**Buyer Power**	**Supplier Power**
High Steady	**High** Increasing	**Moderate** Steady

Concentration Low

What impacts the industry's market share concentration?

Large retailers leverage scale and technology to strengthen market share dominance

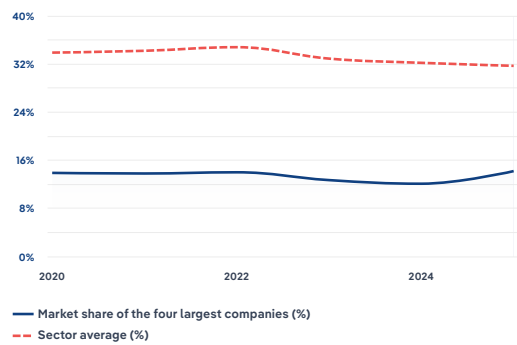
- By leveraging massive logistics networks, advanced warehousing and bulk purchasing power, giants like Amazon reduce per-unit costs and offer consistently lower prices than smaller competitors. These economies of scale create a self-reinforcing cycle that attracts more customers, fosters loyalty and steadily increases market share concentration.
- Their technology integration, including personalized recommendations, predictive inventory management and same-day delivery services, is equally critical. These innovations enhance customer satisfaction, streamline the shopping experience and make competitors appear less efficient, ensuring that large retailers maintain their financial and strategic advantages in the online jewelry and watch market.

Omnichannel expansion intensifies competition and challenges online-only women clothing retail specialists

- Traditional retailers are rapidly blending online platforms with their existing physical stores, offering customers a seamless experience that combines in-store trials with convenient online purchasing options. This omnichannel strategy makes them more attractive to wider demographics, reducing growth opportunities for smaller online-only women's clothing specialists competing for attention.
- By aggressively matching or undercutting prices seen online, traditional retailers not only pressure e-commerce players to sacrifice profit but also force them to spend more on marketing and differentiation. This constant tug-of-war weakens profitability and raises customer expectations around pricing and convenience.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld Source: IBISWorld

Key Success Factors

How do successful businesses handle concentration?

Use aggressive marketing techniques

Online retailers employ aggressive marketing strategies like targeted social media advertising, influencer partnerships, email marketing campaigns, SEO optimization and flash sales to maintain robust customer engagement and enhance brand visibility.

Leverage product design, quality and brand strengths

Successful online women's clothing retailers leverage product design, quality and brand strengths by continually innovating, ensuring high-quality standards, fostering strong brand identity and engaging with customers to build loyalty and differentiate from competitors.

Barriers to Entry

Low | Increasing

What challenges do potential industry entrants face?

Legal

- Navigating regulations and securing licenses can pose challenges for new online women's clothing retailers. Compliance with consumer protection laws and data privacy standards requires specialized legal expertise, which can potentially increase costs and operational complexity for startups seeking to establish a secure and lawful business environment.

Start-up Costs

- Establishing an online women's clothing store requires considerable investment in inventory, technology infrastructure and marketing. The financial burden of initial stock purchasing, website development and digital marketing campaigns can be high, discouraging potential entrants who lack substantial funds or access to credit.

Differentiation

- In a highly competitive market, creating a unique brand or product offering presents a significant challenge. New entrants must innovate through unique designs or niche marketing strategies to stand out from established players, necessitating creative resources and potentially prolonging the path to profitability.

Capital Expenses

- The online women's clothing sales industry is capital-intensive because of the need for investment in advanced technology, warehousing and logistics. Establishing automated systems for inventory management and efficient distribution networks requires substantial upfront capital, posing a barrier for newcomers with limited financial resources.

Key Success Factors

How can potential entrants overcome barriers to entry?

Develop marketing expertise

New entrants can leverage targeted digital marketing strategies, influencer partnerships and social media engagement to build brand awareness. Data analytics, SEO and personalized content can effectively attract and retain customers, overcoming initial market entry challenges.

Generate repeat customers

Offering personalized shopping experiences, loyalty programs and high-quality customer service fosters repeat customers, ensuring long-term satisfaction and engagement while differentiating the brand in the competitive market.

Substitutes

High | Steady

What are substitutes for industry services?

Brick-and-mortar women's clothing stores

- Brick-and-mortar women's clothing stores often offer exclusive in-store discounts, loyalty programs and special promotions that aren't available online. These incentives can drive foot traffic to stores, offering a tangible reward that online retailers may struggle to match.
- Many shoppers value the ability to touch and try on clothing. This tactile experience enables customers to make purchasing decisions with confidence regarding fit, fabric quality and comfort. Also, seeing how colors and styles look in person can be more accurate, reducing the need for returns.
- In-store staff can provide personalized styling advice, assist with finding the right sizes and recommend complementary pieces, thereby enhancing the overall shopping experience. This face-to-face interaction can significantly improve customer satisfaction, fostering loyalty and encouraging repeat business.

Imports

- Online retailers abroad, such as ASOS, Shein and Zara, often benefit from lower production costs by operating in countries with cheaper labor and material expenses. These savings are often passed on to consumers, offering more affordable options without compromising style or quality.
- Many international online retailers have enhanced their logistics to offer competitive shipping rates, with some even providing free shipping and returns. This approach aims to eliminate the common hesitations associated with purchasing from overseas.

☆ **Key Success Factors**

How do successful businesses compete with substitutes?

Generate positive word-of-mouth recommendations

Offering exceptional customer service, high-quality products, engaging social media presence and personalized experiences encourages satisfied customers to share positive word-of-mouth recommendations organically and enthusiastically, helping businesses compete with substitutes effectively.

Conduct market research

Online women's clothing retailers use surveys, focus groups, social media analytics and competitor tools for market research. This data helps them offer unique products, personalized marketing and enhanced customer experiences to stand out from substitutes.

Buyer & Supplier Power

IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

High | Increasing

Buyers: Diverse options amplify leverage in online sales

- The vast array of online women's clothing retailers empowers consumers, enabling them to easily compare styles, prices and brands. This competition forces sellers to offer competitive pricing and unique offerings to attract and retain customers in a saturated market.
- Price sensitivity in the women's clothing sector empowers buyers to demand discounts and promotions. With countless retailers available, consumers are less likely to remain loyal unless they perceive exceptional value, driving businesses to continually adjust their pricing strategies to meet customer expectations.

Moderate | Steady

Suppliers: Fabric availability influences market dynamics

- Suppliers significantly impact the online women's clothing sales industry by controlling the availability and cost of fabrics. This power affects production timelines and pricing strategies for retailers, influencing the market's competitive landscape and the ability of brands to respond to fashion trends quickly.
- Limited fabric choices or increased costs can lead to higher prices for consumers, which in turn reduces demand and may impact sales volume. Smaller retailers may struggle to compete with larger businesses that can negotiate better terms with suppliers, further concentrating market power among a few dominant players.

Key Success Factors

How do successful businesses manage buyer & supplier power?

Develop links with suppliers

Developing strong links with suppliers involves fostering robust relationships, negotiating favorable terms, collaborating on innovative solutions, ensuring consistent communication and building mutual trust. These efforts result in stable supply chains and shared benefits for both parties.

Develop a loyal customer base

Creating a loyal customer base through exceptional service, personalized experiences and consistent quality reduces dependency on single buyers. Loyalty programs and engagement strategies foster long-term relationships, effectively balancing buyer power.

Companies

Key Takeaways

Amazon leads in online sales of women's clothing. This success is attributed to its market dominance and the extensive range of women's clothing available at varying prices, appealing to a broad range of consumers.

Brick-and-mortar retailers prosper online. Macy's, Nordstrom and Kohl's have significantly augmented their market shares by establishing successful online stores, highlighting the valuable link between traditional retail and e-commerce platforms.

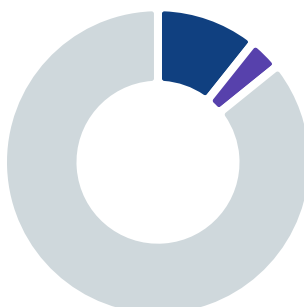
Major Players

Company	Revenue	Market Share
Amazon.Com, Inc.	$6.6bn	10.7%
Macy's, Inc.	$2.2bn	3.5%
Other Companies	$53.0bn	85.8%

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue



IBISWorld

Source: IBISWorld

Companies

Company	Market Share (%) 2025	Revenue ($m) 2025	Profit ($m) 2025	Profit Margin (%) 2025
Amazon.Com, Inc.	10.7	6,599.1	801.1	12.1
Macy's, Inc.	3.5	2,161.5	60.7	2.8

Amazon.Com, Inc.

Company Details

Industry Specific Revenue (2025)	$6.6bn
Industry Profit (2025)	$801.1m
Company Employees (2025)	1,556,000
Market Share (2025)	10.7%

Description

Amazon.Com is a public company headquartered in Washington with an estimated 1,556,000 employees. In the US, the company has a notable market share in at least 33 industries: Data Processing & Hosting Services, Database, Storage & Backup Software Publishing, Electronics and Appliance Retailers, Hiking & Outdoor Equipment Stores, Speech & Voice Recognition Software Developers, E-Book Publishing, Online Home Furnishing Sales, Online Hardware & Tool Sales, Online Computer & Tablet Sales, Online Small Electrical Appliance Sales, Online Grocery Sales, Online Pet Food & Pet Supply Sales, Online Perfume & Cosmetic Sales, Online Vitamin & Supplement Sales, Online Shoe Sales, Online Men's Clothing Sales, Online Women's Clothing Sales, Online Jewelry & Watch Sales, Online Book Sales, Online Children's Toy Sales, Online Hobby & Craft Supplies Sales, Online Office & School Supply Sales, Digital Music Downloads, Online Video Downloads, Online Computer Software Sales, Third-Party Logistics, Online Baby Product Sales, Internet Hosting Services, Cloud Security Software, Business Intelligence Software, Music Streaming Services, Video Streaming Services, Hyperscale Data Center Services and Speech & Voice Recognition Software Developers. Their largest market share is in the Online Home Furnishing Sales industry, where they account for an estimated 77.0% of total industry revenue.

Brands & Trading Names

- 6pm.com
- Amazon Books
- Amazon Studios
- Amazon.com
- AmazonFresh
- AWS
- EastDane.com
- Ring
- Twitch
- Woot.com
- Zappos.com

Other Industries

- Business Intelligence Software in the US
- Cloud Security Software in the US
- Data Processing & Hosting Services in the US
- Database, Storage & Backup Software Publishing in the US
- E-Book Publishing in the US
- Internet Hosting Services in the US
- Music Streaming Services in the US
- Online Baby Product Sales in the US
- Online Book Sales in the US
- Online Children's Toy Sales in the US
- Online Computer & Tablet Sales in the US
- Online Computer Software Sales in the US
- Online Grocery Sales in the US
- Online Hardware & Tool Sales in the US
- Online Hobby & Craft Supplies Sales in the US
- Online Home Furnishing Sales in the US
- Online Jewelry & Watch Sales in the US
- Online Men's Clothing Sales in the US
- Online Office & School Supply Sales in the US
- Online Perfume & Cosmetic Sales in the US
- Online Pet Food & Pet Supply Sales in the US
- Online Shoe Sales in the US
- Online Small Electrical Appliance Sales in the US
- Online Video Downloads in the US
- Online Vitamin & Supplement Sales in the US
- Speech & Voice Recognition Software Developers in the US

- Third-Party Logistics in the US
- Video Streaming Services in the US

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)	Profit ($m)	Profit Margin (%)
2020	10.6	4,664.3	276.7	5.9
2021	9.3	4,567.1	241.8	5.3
2022	8.9	4,734.5	112.8	2.4
2023	8.4	4,703.5	301.6	6.4
2024	8.0	4,691.7	504.4	10.8
2025	10.7	6,599.1	801.1	12.1

What's impacting Amazon.Com, Inc.'s performance?

Amazon revolutionizes delivery with AI-powered electric vans and vision-assisted package retrieval

- Amazon is gearing up to deploy electric delivery vans equipped with Vision-Aided Package Retrieval (VAPR) technology by 2025, which will transform its delivery operations. This AI-powered system allows drivers to identify the right packages effortlessly, significantly saving time and enhancing overall efficiency. VAPR reduces drivers' physical and mental effort, ensuring a smoother and more accurate package delivery process for Amazon customers.

Amazon invests in workforce training and AI skills

- Amazon aims to empower its workforce by providing training in conjunction with technological advancements. Since 2020, it has pledged over $1.2 billion to upskill 300,000 employees in areas like robotics and engineering. This initiative seeks to create more opportunities amid automation. Amazon's AI Ready program aims to provide free AI training to two million people globally by 2025, thereby enhancing workforce capabilities.

Macy's, Inc.

Company Details

Industry Specific Revenue (2025)	$2.2bn
Industry Profit (2025)	$60.7m
Company Employees (2025)	94,189
Market Share (2025)	3.5%

Description

Macy's is a public company headquartered in New York with an estimated 94,189 employees. In the US, the company has a notable market share in at least five industries: Department Stores, Online Shoe Sales, Online Handbag & Luggage Sales, Online Men's Clothing Sales, Online Women's Clothing Sales and Online Women's Clothing Sales. Their largest market share is in the Department Stores industry, where they account for an estimated 11.6% of total industry revenue.

Brands & Trading Names

- Bloomingdales
- Bluemercury
- Macy's

Other Industries

- Department Stores in the US
- Online Handbag & Luggage Sales in the US
- Online Men's Clothing Sales in the US
- Online Shoe Sales in the US

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)	Profit ($m)	Profit Margin (%)
2020	3.3	1,454.5	-375.2	-25.8
2021	4.5	2,216.5	213.0	9.6
2022	5.1	2,674.5	184.8	6.9
2023	4.3	2,430.5	31.7	1.3
2024	4.1	2,413.0	98.4	4.1
2025	3.5	2,161.5	60.7	2.8

What's impacting Macy's, Inc.'s performance?

Online options gain steam in the marketplace

- The integration of in-store and online experiences has improved the customer shopping experience. Macy's enables customers to purchase products online and collect them quickly in-store, catering to shoppers who prioritize convenience. This initiative capitalizes on changing consumer behaviors, providing a seamless shopping experience to earn repeat business.

Macy's harnesses AI for enhanced customer engagement

- In 2024, Macy's began partnering with Rokt to enhance its retail media business, using AI and machine learning to deliver customized post-purchase offers from non-endemic advertisers, increasing engagement, driving loyalty program enrollments and improving the entire shopping experience for both new and returning customers.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Online women's clothing retailers follow strict consumer data privacy regulations. Retailers must also comply with standards on non-deceptive practices, labor laws and tax regulations to operate smoothly and legally.

Industry associations are the main form of assistance for online women's clothing retailers. However, the industry does not receive significant government assistance.

Regulation & Policy
Moderate Increasing

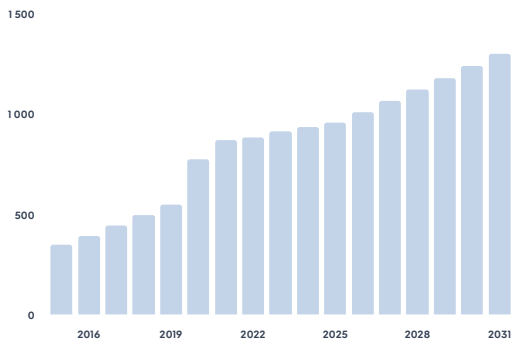
Assistance
Low Steady

External Drivers

What demographic and macroeconomic factors impact the industry?

E-commerce sales

$ billion

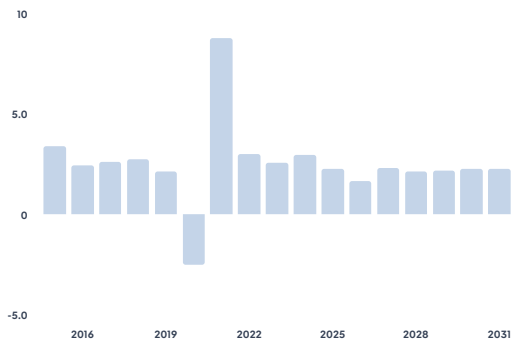


IBISWorld Source: IBISWorld

E-commerce sales significantly drive industry growth by boosting revenue. The convenience of online shopping and a wide array of products attract consumers, offering substantial opportunities for the Online Women's Clothing Sales industry. However, intensified competition can erode profit. Ensuring customer retention through unique products and exceptional service is essential for sustained success. As overall e-commerce sales continue to expand, this remains an opportunity for operators.

Consumer spending

Growth

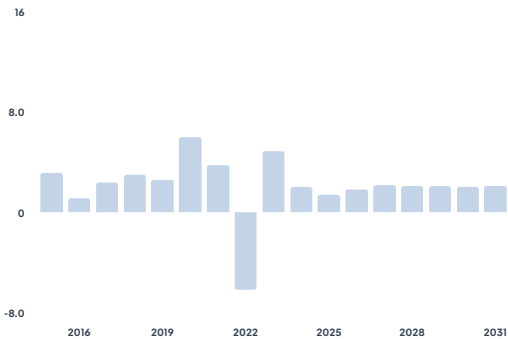


IBISWorld Source: IBISWorld

Consumer spending measures the total amount that Americans spend on services, new goods and net purchases of used goods, both domestically and abroad. Increased consumer spending boosts corporate revenue, benefiting sectors including online women's clothing retailers. Conversely, a drop in consumer spending poses a potential threat to these industries, as it may lead to decreased sales and revenue, impacting overall business performance.

Per capita disposable income

Growth

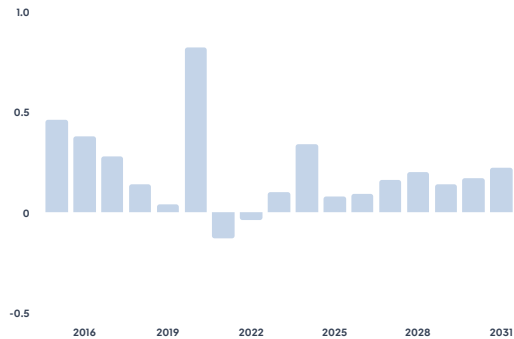


IBISWorld Source: IBISWorld

Per capita disposable income has a significant impact on consumer spending on discretionary apparel products. As disposable income increases, consumers tend to invest in premium-priced clothing, thereby boosting industry revenue. Conversely, consumers increasingly opt for more affordable clothing options as disposable income decreases, leading to a drop in industry revenue. This correlation underscores the market's sensitivity to economic fluctuations and consumer purchasing power.

Number of adults aged 20 to 64

Growth



IBISWorld Source: IBISWorld

The number of adults aged 20 to 64 has a direct impact on online women's clothing sales. This demographic forms the largest segment of online shoppers, driven by disposable income and tech-savviness. A surge in this age group boosts sales, while a drop could hamper growth. Tracking their shopping trends helps retailers tailor offerings, enhancing engagement and driving profit.

Regulation & Policy

Moderate | Increasing

What regulations impact the industry?

Fair Labor Standards Act (FLSA)

The Fair Labor Standards Act (FLSA) influences online women's clothing sales by setting minimum wage, overtime pay and recordkeeping requirements for employees. It ensures that sellers classify workers correctly (as employees versus independent contractors), which impacts payment and work conditions. This affects how online businesses, including e-commerce and warehouses, manage labor costs and comply with federal standards. Also, the FLSA's child labor provisions regulate the employment of minors, ensuring safe and fair work conditions in the online retail industry.

Data protection laws

Online retailers must adhere to stringent data protection laws that differ by state, including the California Consumer Privacy Act (CCPA) and the Virginia Consumer Data Protection Act (VCDPA). These regulations mandate that businesses meticulously protect customer data, requiring complete transparency in how personal information is collected, stored and used. Ensuring the protection of customer privacy is paramount and these laws hold retailers accountable for maintaining high standards of data security and ethical practices.

Streamlined Sales and Use Tax Agreement (SSUTA)

The Streamlined Sales and Use Tax Agreement (SSUTA) simplifies and standardizes sales tax collection across member states, facilitating online transactions, such as those involving women's clothing. It harmonizes definitions, filing and remittance processes, ensuring consistency. This reduces complexity for online retailers by providing a uniform system to determine tax rates and exemptions across states. By adopting SSUTA, states aim to enhance tax compliance and make it easier for online retailers to collect and remit the appropriate sales tax.

Federal Trade Commission (FTC)

The Federal Trade Commission (FTC) regulates online women's clothing sales by enforcing consumer protection laws. It ensures truthful advertising and prevents false claims about products. The FTC monitors data privacy practices to safeguard consumer information during online transactions. It also combats deceptive practices like bait-and-switch tactics. The commission addresses complaints and takes action against companies that violate regulations, promoting fair competition and protecting consumer rights in online marketplaces.

Occupational Safety and Health Administration (OSHA)

The Occupational Safety and Health Administration (OSHA) focuses on ensuring safe working conditions across various industries, including online women's clothing sales, by enforcing standards and regulations. OSHA's role involves establishing guidelines for safe work environments, including ergonomic practices for workers handling shipments and the safe storage of materials. They provide training, outreach and education to prevent workplace injuries, even in e-commerce settings, ensuring that companies comply with health and safety standards to protect employees involved in operations such as packaging and handling.

Assistance

Low | Steady

What assistance is available to this industry?

Government
Small Business Administration (SBA)

The SBA supports the online women's clothing sales industry by providing tools and resources, as well as training and educational programs designed to foster business growth. The program offers affordable loans, grants and access to investment capital for startup ventures and expansion opportunities. In addition to financial assistance, the SBA provides a robust network of district offices and partnerships that can aid businesses in navigating regulations, federal taxes and employment laws.

Non-government
National Retail Federation (NRF)

The National Retail Federation (NRF) supports online women's clothing sales by providing valuable market insights, retail trends and consumer behavior analysis. They organize events and conferences that foster networking and share best practices among retailers. The NRF advocates for e-commerce-friendly policies and offers educational resources to enhance digital capabilities. By highlighting technological innovations and promoting data-driven strategies, the NRF enables online shoe retailers to optimize their operations, enhance customer experiences and increase sales.

Non-government
American Apparel and Footwear Association (AAFA)

The American Apparel and Footwear Association (AAFA) supports online women's clothing sales by advocating for fair trade regulations, addressing supply chain challenges and upholding high standards for product safety and quality. They deliver industry research, encourage innovation and create networking opportunities. They also assist companies in navigating regulations and consumer preferences, thereby boosting the effectiveness and growth of online retail.

Financial Benchmarks

Key Takeaways

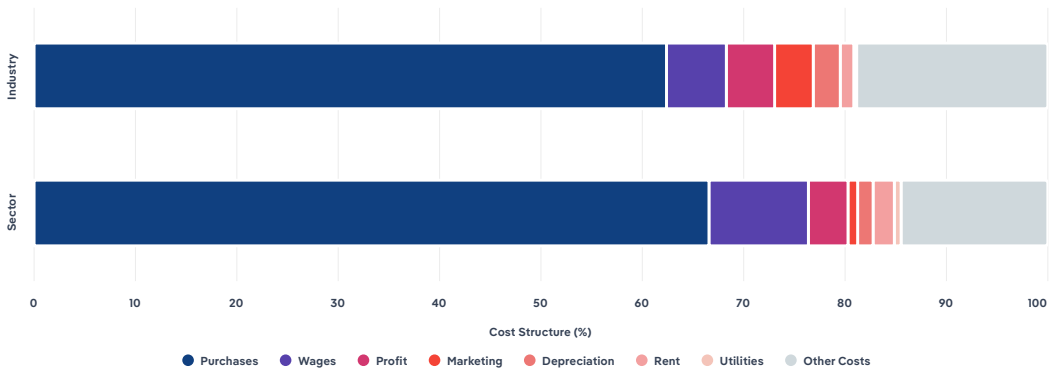
High competition and rising operational costs put pressure on profitability. Smaller online women's retailers face increased costs because of bulk purchasing challenges, unlike larger competitors who benefit from economies of scale.

Wage costs are increasing for online retailers. Despite the availability of affordable website creation platforms, the surge in the number of online retailers has driven up expenses related to hiring web designers and other necessary personnel.

Profit Margin	Average Wage	Largest Cost
4.8 % Higher than sector	$20,396 Lower than sector	Purchases 62.4% of Revenue

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2025



IBISWorld

Source: IBISWorld

Cost Structure Benchmarks

Operating costs	Industry (%)	Sector (%)
Purchases	62.4	66.59
Contracted labor	0.7	-
Other	99.3	-
Wages	5.9	9.84
Commissions	6.8	-
Other	93.2	-
Profit	4.8	3.87
Marketing	3.8	1.00
Depreciation	2.7	1.55

Operating costs	Industry (%)	Sector (%)
Rent	1.3	2.10
Machinery and equipment	5.4	-
Land, Building and Structure	94.6	-
Other	0	-
Utilities	0.3	0.59
Other Costs	18.8	14.46
Repair and Maintenance	1	-
IT services and related spend	0.9	-
Distribution & Warehousing	8.5	-
Research and Development	33.5	-
Franchise fees and Royalties	6.9	-
Professional Services	6.9	-
Telecommunications	1.3	-
Other	41	-

What trends impact industry costs?

Profit shrinks as online women's clothing competition intensifies and costs rise

- Industry profit has declined over the past five years, falling from previous levels as fierce competition forces retailers to compete aggressively on price. The proliferation of online women's clothing retailers, including established brick-and-mortar brands launching e-commerce platforms and pure-play digital startups, has fragmented market share and triggered persistent price wars that erode per-unit profitability despite strong sales volume growth.
- Shipping expenses have escalated because of carrier rate increases and consumer expectations for free or low-cost delivery, while return rates in online apparel create substantial reverse logistics costs. Additionally, investments in website technology, mobile app development, cybersecurity and digital marketing are necessary to remain competitive, but they also directly pressure bottom-line profitability.
- Promotional intensity has increased as retailers use frequent discounts and flash sales to drive traffic and clear inventory. Many operators run near-constant promotions during competitive periods like Black Friday, end-of-season clearances or when managing excess stock, which boosts transaction volume but significantly reduces average order profitability. This promotional cadence has become expected by consumers, making it difficult for retailers to return to full-price selling.
- Scale advantages create profitability disparities between large and small operators in the industry. Major retailers like SHEIN, Zara and established department store e-commerce divisions leverage bulk purchasing power to negotiate lower unit costs and spread fixed technology and marketing expenses across larger revenue bases. Smaller boutique retailers struggle to achieve comparable profit, facing higher per-unit inventory costs and proportionally larger investments in customer acquisition and platform maintenance.

Online women's fashion retailers face financial pressures as purchases dominate overall expenses

- Purchases consistently represent the dominant expense category for online women's clothing retailers, typically accounting for the majority of revenue. This category encompasses all apparel inventory, from dresses and activewear to accessories and outerwear, along with essential shopping materials such as packaging, tags and office equipment needed for daily operations.
- The complex global sourcing process continues to challenge retailers with elevated purchase costs driven by shifting trade policies. Fluctuating tariffs, customs duties and volatile exchange rates significantly impact import expenses, forcing online retailers to carefully navigate international supplier relationships while managing unpredictable cost structures that directly impact their bottom line.
- Raw material price volatility adds another layer of cost pressure to purchase expenses. Cotton, synthetic fabrics and textile materials experience price fluctuations driven by supply chain disruptions, poor agricultural harvests, increased global demand and commodity market dynamics. These upstream cost increases inevitably flow through to retailers' final purchase prices.
- Inventory management strategies have become increasingly sophisticated as retailers balance purchase costs with consumer demand patterns. Operators must invest in predictive analytics and demand forecasting tools to optimize order quantities, minimize excess inventory carrying costs and maintain competitive pricing while protecting profit in this high-volume, fast-moving market segment.

Wage costs inch up as numerous retailers begin operating

- Wage costs in the online women's clothing industry have historically been below 6.0% of revenue, significantly lower than

those of traditional brick-and-mortar retailers. However, this share has gradually increased over the past five years as competition for skilled talent intensifies and operators expand their workforce to support growing sales volumes and enhanced customer service expectations.

- Technical talent commands premium compensation, particularly during website launch and development phases. Web developers, software engineers and user experience designers are essential for building and maintaining e-commerce platforms, implementing mobile optimization, integrating payment systems and ensuring site security. These specialized roles typically earn substantially higher wages than those in warehouse or customer service positions.
- Warehouse and fulfillment operations employ the largest number of workers, including inventory managers, pickers, packers and shipping coordinators. While platforms like Shopify and Squarespace have simplified website creation, reducing initial technical labor needs, the surge in online retailers has increased competition for experienced fulfillment workers who can efficiently process orders and manage inventory accuracy in fast-paced distribution environments.
- Customer service and content creation roles balance full-time and flexible staffing models to manage costs effectively. Many retailers employ part-time customer service representatives to handle inquiries across multiple channels, while also maintaining small teams of photographers, stylists and social media managers to create compelling product content. This hybrid approach allows operators to maintain quality service while keeping wage expenses proportionally lower than revenue growth.

Marketing costs remain steady despite shifting strategies

- Marketing expenses have maintained a stable share of revenue over the past five years, consistently accounting for less than 5.0% of industry revenue as operators balance customer acquisition needs with cost discipline. While competition has intensified significantly, retailers have optimized their marketing mix by shifting from expensive traditional channels toward more cost-effective digital platforms, allowing them to maintain visibility without proportionally increasing spending as revenue grows.
- Digital advertising dominates marketing budgets, with social media platforms such as Instagram, TikTok and Facebook serving as primary channels for customer acquisition. Operators invest heavily in targeted ads, influencer partnerships, and shoppable posts that enable consumers to make purchases directly from social media content. For example, fashion brands partner with micro-influencers and style bloggers to showcase products authentically, generating engagement rates that often exceed those of traditional display advertising while controlling costs through performance-based compensation models.
- Search engine marketing and email campaigns provide high-return customer touchpoints for online retailers. Google Shopping ads and search engine optimization ensure visibility when consumers actively seek women's clothing, while email marketing to existing customers drives repeat purchases at minimal incremental cost. Retailers like Revolve and ASOS have built sophisticated email segmentation strategies, sending personalized product recommendations and exclusive promotions that convert at significantly higher rates than broad-market advertising.
- Emerging marketing tactics include user-generated content and loyalty programs that reduce acquisition costs. Brands encourage customers to share photos wearing purchases on social media with branded hashtags, creating authentic marketing content while building community engagement. Also, referral programs and VIP memberships reward repeat customers with early access to sales or exclusive discounts, transforming satisfied buyers into brand advocates who drive new customer acquisition organically without traditional advertising expenditure.

Depreciation remains minimal reflecting asset-light business models

- Depreciation expenses have remained stable over the past five years, consistently representing a small fraction of revenue as online retailers operate with relatively minimal capital-intensive assets. Unlike brick-and-mortar counterparts that depreciate store fixtures, extensive display equipment and retail real estate improvements, online operators primarily depreciate technology infrastructure, including servers, computer hardware, proprietary software systems and warehouse equipment, resulting in significantly lower depreciation as a percentage of sales.
- Technology investments constitute the primary depreciable assets for online women's clothing retailers. Operators must periodically upgrade e-commerce platform software, customer relationship management systems, inventory management solutions and enterprise resource planning tools to maintain competitiveness. Computer hardware, including employee workstations, photography equipment for product imaging, and data storage servers, also contributes to depreciation, though cloud-based solutions have reduced some traditional hardware investment requirements in recent years.
- Warehouse and fulfillment infrastructure creates additional depreciation expenses for vertically integrated operators. Retailers managing their own distribution centers depreciate material handling equipment such as conveyor systems, automated sorting machinery, packing stations and barcode scanning devices. For example, larger operators investing in semi-automated fulfillment capabilities must depreciate robotic picking systems or warehouse management technology, though many smaller retailers outsource fulfillment to third-party logistics providers to avoid these capital expenditures entirely.
- The shift toward cloud-based platforms and software-as-a-service models has helped contain depreciation growth. Many retailers now subscribe to hosted e-commerce solutions, such as Shopify Plus, BigCommerce, or Salesforce Commerce Cloud, rather than purchasing and depreciating proprietary software licenses. This operational expense structure reduces upfront capital investment and associated depreciation, allowing operators to scale technology capabilities flexibly while maintaining depreciation as a stable and modest share of revenue, regardless of business size.

Rent costs remain low because of operational model advantages

- Rent expenses have maintained a stable and minimal share of revenue over the past five years, representing a significant cost advantage over traditional brick-and-mortar retailers. Online women's clothing operators avoid expensive storefront leases in high-traffic shopping districts, premium malls or downtown retail corridors where foot traffic commands substantial rental premiums. Instead, they lease warehouse and fulfillment space in industrial areas where per-square-foot costs are dramatically lower than consumer-facing retail locations.
- Warehouse and distribution center leases constitute the primary rental expense for online retailers operating their own fulfillment operations. These facilities are typically located in logistics hubs

near major transportation corridors or population centers, thereby optimizing shipping times and costs. For example, operators may lease warehouses ranging from 50,000.0 to 100,000.0 square feet in secondary markets or industrial parks, where monthly rental rates per square foot are a fraction of what comparable retail space would cost in shopping centers or urban retail districts.

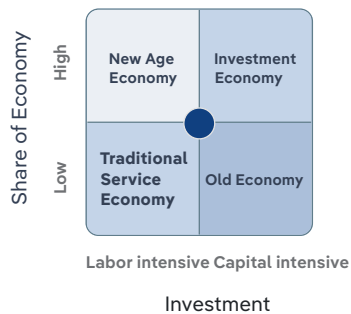
- Corporate office space represents an additional but modest rental cost for online retailers maintaining administrative headquarters. These offices house executive teams, customer service departments, merchandising staff and creative teams responsible for photography, content creation and digital marketing. Many smaller operators minimize this expense further by adopting remote work policies or using co-working spaces, reducing fixed rent obligations while maintaining operational flexibility as their business scales.
- Hybrid retailers operating both online and physical showrooms face somewhat higher rental costs but still benefit from strategic location choices. Some digital-first brands, such as Warby Parker or Everlane, have opened limited physical locations in select markets. However, these showrooms are often smaller than traditional retail stores and are positioned as experiential spaces rather than inventory-heavy shops. This approach allows them to maintain customer touchpoints while keeping rent expenses proportionally lower than conventional retailers, who rely primarily on physical store revenue.

Utility expenses remain minimal compared to traditional retail

- Utility costs have remained stable at a negligible share of revenue over the past five years, reflecting the operational efficiency advantages of online retail models. Without energy-intensive storefronts that require extensive lighting, climate control for customer comfort and prominent exterior signage, online women's clothing retailers can maintain significantly lower utility expenses. Their primary facilities, warehouses, and corporate offices demand far less energy per dollar of revenue generated compared to traditional retail stores, which must create inviting shopping environments.
- Warehouse climate control represents the largest utility expense component for online operators, particularly for facilities storing temperature-sensitive inventory. While women's clothing generally doesn't require refrigeration like food products, maintaining consistent temperature and humidity levels protects fabric quality and prevents damage from moisture or extreme heat. Large fulfillment centers may also require substantial electricity for lighting across expansive floor spaces, powering conveyor systems, operating computer systems and barcode scanners throughout picking and packing operations.
- Office utility costs cover basic electricity, heating, cooling, water and internet connectivity for administrative headquarters and customer service centers. These expenses are straightforward and predictable, encompassing climate control for employee workspaces, lighting, phone systems and high-speed internet infrastructure essential for e-commerce operations. Retailers with photography studios or content creation spaces may incur additional lighting and equipment power costs, though these remain proportionally small compared to overall revenue generation.
- Energy-efficient practices and the adoption of technology help contain utility cost growth even as operations scale. Many operators invest in LED lighting, programmable thermostats and energy management systems to optimize consumption patterns in warehouses and offices. Also, cloud computing infrastructure shifts significant energy costs to third-party data center providers, rather than requiring on-premise server rooms with substantial cooling and power requirements. This effectively converts what would be utility expenses into software subscription costs, while improving overall operational efficiency.

Traditional Service Economy

Share of economy vs. Investment



IBISWorld

Source: IBISWorld

Financial Ratios

Days' Receivables	Interest Coverage	Debt/Net Worth
62.9 Higher than sector	2.1 Higher than sector	15.4 Higher than sector

Earnings Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
EBIT/Revenue	11.3	9.1	15.7	18.5	21.7	20.1	16.3	13.1
EBITDA/Revenue	16.2	13.8	20.6	22.8	28.9	25.9	21.5	18.0
Leverage Ratio	4.3	7.3	4.9	3.2	3.5	3.3	4.7	4.3

Industry Tax Structure

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Taxes Paid/Revenue	1.9	2.6	3.0	2.2	1.9	2.1	2.4	2.3

Income Statement

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Total Revenue	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Business receipts	97.4	96.9	96.5	94.1	97.8	95.9	96.3	95.3
Cost of goods	40.9	43.5	46.2	46.5	40.9	43.7	44.3	46.6
Gross Profit	59.1	56.5	53.8	53.5	59.1	56.3	55.7	53.4
Expenses								
Salaries and wages	12.0	14.8	10.1	9.4	8.4	8.9	10.7	11.4
Advertising	2.3	2.7	2.9	2.1	1.9	2.0	2.4	2.4
Depreciation	0.7	0.9	1.0	0.5	0.4	0.5	0.7	0.7
Depletion	0.1	0.0	0.0	0.2	0.0	0.1	0.0	0.0
Amortization	4.1	3.8	3.9	3.7	6.8	5.2	4.5	4.3
Rent paid	2.0	3.3	2.2	2.2	1.9	2.0	2.4	2.3
Repairs	0.9	0.8	0.7	1.3	0.6	1.0	0.9	0.9
Bad debts	9.8	0.3	0.2	0.1	0.1	0.1	0.1	1.2
Employee benefit programs	2.5	2.8	2.5	1.6	3.2	2.4	2.5	2.5
Compensation of officers	2.7	3.7	2.4	1.2	2.6	1.9	2.5	2.6
Taxes paid	1.9	2.6	3.0	2.2	1.9	2.1	2.4	2.3
Interest Income	1.0	0.3	0.5	1.7	0.6	1.1	0.8	0.6
Other Income								
Royalties	0.2	0.8	1.0	1.7	1.0	1.3	1.1	1.2
Rent Income	0.4	0.9	0.9	0.6	0.1	0.3	0.6	1.3
Net Income	9.1	5.7	11.2	9.5	9.3	9.4	8.9	8.2
Charitable contributions	0.1	0.1	0.2	0.2	0.0	0.1	0.1	0.1
Dividends	0.1	0.4	0.4	0.2	0.2	0.2	0.3	0.5
Interest paid	0.3	0.9	1.5	6.8	10.4	8.6	4.9	2.6
Net gain, noncapital assets	0.1	0.1	0.1	0.0	0.0	0.0	0.1	0.1
Net long-term capital gain less net short-term loss	0.5	0.1	0.0	1.0	0.1	0.5	0.3	0.2
Net loss, noncapital assets	0.3	0.8	0.6	1.3	0.5	0.9	0.8	0.6
Net short-term capital gain less net long-term loss	0.1	0.2	0.2	0.5	0.1	0.3	0.2	0.4
Other deductions	8.9	11.8	9.5	8.4	8.0	8.2	9.4	9.4
Other receipts	0.1	0.3	0.3	0.3	0.2	0.2	0.3	0.4
Pension, profit-sharing, etc., plans	0.1	0.4	0.3	2.0	2.6	2.3	1.3	0.8

Balance Sheet

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Assets								
Cash and Equivalents	3.5	7.3	6.5	5.8	5.2	5.5	6.2	4.2
Notes and accounts receivable	8.6	6.2	8.4	14.8	17.2	16.0	11.7	8.1
Allowance for bad debts	0.1	0.0	0.1	1.1	1.2	1.2	0.6	0.3
Inventories	44.2	36.7	38.6	38.5	37.0	37.7	37.7	37.6
Other current assets	4.8	5.3	5.6	4.9	5.5	5.2	5.3	3.8
Other investments	4.5	6.0	6.5	-3.4	-2.3	-2.9	1.7	5.5
Property, Plant and Equipment	27.8	23.1	22.4	28.8	29.6	29.2	26.0	32.0
Accumulated depreciation	17.1	14.9	13.5	21.3	20.4	20.8	17.5	19.9
Intangible assets (Amortizable)	10.3	22.3	18.3	24.3	19.7	22.0	21.2	22.4
Accumulated amortization	8.3	7.2	7.3	7.1	5.4	6.2	6.7	7.3
Other assets	12.3	9.2	6.2	5.0	5.3	5.2	6.4	5.9
Total assets	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Accounts payable	17.3	16.6	15.9	15.5	16.6	16.1	16.2	15.6
Liabilities and Net Worth								
Mort, notes, and bonds under 1 yr	19.4	18.7	21.5	17.2	16.6	16.9	18.5	17.8
Other current liabilities	7.2	12.6	15.5	11.0	9.9	10.4	12.2	9.9
Loans from shareholders	19.2	18.2	13.5	15.9	13.0	14.4	15.1	17.9
Mort, notes, bonds, 1 yr or more	17.4	22.2	19.2	27.4	27.3	27.3	24.0	21.4
Other liabilities	6.9	1.0	5.3	9.1	10.1	9.6	6.4	5.9
Total liabilities	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Capital stock	-1.4	-0.8	2.6	-5.8	-6.8	-6.3	-2.7	-2.5
Additional paid-in capital	20.5	27.0	17.0	12.8	7.6	10.2	16.1	26.6
Retained earnings, appropriated	-7.1	-2.1	-3.9	-3.0	-0.9	-2.0	-2.5	-5.7
Retained earnings-unappropriated	17.0	-1.8	8.2	10.5	14.9	12.7	8.0	4.5
Cost of treasury stock	16.3	11.7	15.0	10.4	8.2	9.3	11.3	11.2
Net worth	12.6	10.5	9.1	4.1	6.5	5.3	7.5	11.6
Accumulated depletion	0.0	0.0	0.0	0.1	0.1	0.1	0.0	0.0
Depletable assets	2.2	0.9	2.3	3.3	3.7	3.5	2.5	1.7
Government Obligations	0.0	0.0	0.0	0.7	0.6	0.6	0.3	0.1
Land	5.7	3.6	4.1	3.2	2.5	2.9	3.4	4.1
Loans to shareholders	0.1	0.2	0.5	1.8	1.7	1.8	1.1	0.6
Mortgage and real estate loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Tax Exempt Securities	1.4	1.4	1.4	1.8	1.5	1.6	1.5	1.5

Liquidity Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Current Ratio	1.4	1.2	1.1	1.5	1.6	1.6	1.4	1.3
Quick Ratio	0.4	0.4	0.4	0.7	0.7	0.7	0.6	0.4
Sales/Receivables	16.7	16.1	11.9	9.3	5.8	7.6	10.8	25.5
Days' Receivables	21.8	22.7	30.7	39.1	62.9	51.0	38.9	23.7
Days' Inventory	274.7	308.2	305.4	218.6	329.7	274.2	290.5	225.8
Inventory Turnover	1.3	1.2	1.2	1.7	1.1	1.4	1.3	1.8
Payables Turnover	3.4	2.6	2.9	4.1	2.5	3.3	3.0	4.5
Days' Payables	107.3	139.5	125.8	88.1	148.5	118.3	125.5	94.6
Sales/Working Capital	7.4	10.7	12.4	5.4	3.9	4.7	8.1	17.9

Coverage Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Interest Coverage	36.1	10.2	10.2	2.7	2.1	2.4	6.3	13.1
Debt Service Coverage Ratio	1.2	0.7	1.0	1.8	1.7	1.8	1.3	1.4

Leverage Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Fixed Assets/Net Worth	5.7	6.8	7.5	21.7	12.6	17.1	12.1	9.1
Debt/Net Worth	7.9	9.5	11.0	24.6	15.4	20.0	15.1	10.6
Tangible Net Worth	12.6	10.5	9.1	4.1	6.5	5.3	7.5	11.6

Operating Ratios

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Return on Net Worth, %	128.7	86.3	173.2	629.3	335.3	482.3	306.1	203.7
Return on Assets, %	16.2	9.1	15.7	25.6	21.7	23.6	18.0	17.9
Sales/Total Assets	1.4	1.0	1.0	1.4	1.0	1.2	1.1	1.4
EBITDA/Revenue	16.2	13.8	20.6	22.8	28.9	25.9	21.5	18.0
EBIT/Revenue	11.3	9.1	15.7	18.5	21.7	20.1	16.3	13.1

Cash Flow & Debt Service Ratios (% of sales)

Ratio	2019	2020	2021	2022	2023	3-Year	5-Year	10-Year
Cash from Trading	49.2	54.0	54.8	60.0	60.3	60.1	57.3	52.1
Cash after Operations	29.7	34.0	39.0	40.7	43.5	42.1	39.3	33.0
Net Cash after Operations	24.7	25.5	34.2	47.4	52.0	49.7	39.8	31.9
Debt Service P&I Coverage	1.6	1.1	1.4	2.2	1.8	2.0	1.6	1.8
Interest Coverage (Operating Cash)	79.0	28.4	22.2	7.0	5.0	6.0	15.7	31.3

Key Ratios

Year	Revenue per Employee ($)	Revenue per Enterprise ($ Million)	Employees per Estab. (Units)	Employees per Enterprise (Units)	Average Wage ($)	Wages/ Revenue (%)	Estab. per Enterprise (Units)	IVA/ Revenue (%)
2005	192,069	0.7	3.7	3.7	29,748	15.5	1.0	21.5
2006	231,089	0.9	3.7	3.7	29,548	12.8	1.0	20.4
2007	257,269	0.9	3.5	3.5	28,409	11.0	1.0	18.0
2008	238,680	1.0	4.0	4.0	30,011	12.6	1.0	18.8
2009	275,970	1.1	3.9	3.9	32,551	11.8	1.0	18.9
2010	333,906	1.3	3.7	3.8	34,078	10.2	1.0	17.0
2011	375,095	1.3	3.4	3.4	34,676	9.2	1.0	15.9
2012	392,469	1.3	3.3	3.3	37,831	9.6	1.0	16.1
2013	426,549	1.4	3.3	3.3	37,331	8.8	1.0	15.5
2014	453,117	1.5	3.3	3.3	37,354	8.2	1.0	15.7
2015	459,091	1.5	3.2	3.2	35,772	7.8	1.0	15.5
2016	472,773	1.5	3.1	3.1	32,442	6.9	1.0	13.9
2017	417,867	1.4	3.4	3.4	28,334	6.8	1.0	14.4
2018	430,144	1.4	3.3	3.4	28,330	6.6	1.0	13.9
2019	456,066	1.5	3.2	3.3	27,389	6.0	1.0	15.6
2020	453,557	1.4	3.0	3.0	23,428	5.2	1.0	15.7
2021	426,738	1.2	2.9	2.9	23,026	5.4	1.0	22.1
2022	398,388	1.1	2.9	2.9	21,607	5.4	1.0	12.2
2023	367,334	1.1	3.0	3.1	20,622	5.6	1.0	13.3
2024	356,368	1.1	3.0	3.0	20,498	5.8	1.0	13.4
2025	347,409	1.0	2.9	2.9	20,396	5.9	1.0	13.3
2026	338,497	1.0	2.8	2.8	20,291	6.0	1.0	13.4
2027	329,838	0.9	2.7	2.7	20,187	6.1	1.0	13.3
2028	323,985	0.9	2.7	2.7	20,116	6.2	1.0	13.3
2029	319,665	0.8	2.6	2.7	20,062	6.3	1.0	13.2
2030	315,908	0.8	2.6	2.6	20,015	6.3	1.0	13.4
2031	312,768	0.8	2.5	2.6	19,975	6.4	1.0	13.4

Key Statistics

Industry Data

Values

Year	Revenue ($ Million)	IVA ($ Million)	Estab. (Units)	Enterprises (Units)	Employment (Units)	Wages ($ Million)
2005	8,557.6	1,840.7	12,097	11,972	44,555	1,325.4
2006	11,069.8	2,259.4	13,100	12,958	47,903	1,415.4
2007	13,111.2	2,358.6	14,581	14,417	50,963	1,447.8
2008	13,876.6	2,603.4	14,658	14,518	58,139	1,744.8
2009	15,080.6	2,851.2	14,104	13,962	54,646	1,778.8
2010	17,359.5	2,953.2	13,968	13,831	51,989	1,771.7
2011	20,213.9	3,217.9	15,978	15,840	53,890	1,868.7
2012	23,371.9	3,754.5	18,182	18,034	59,551	2,252.9
2013	26,690.5	4,126.5	18,941	18,804	62,573	2,335.9
2014	29,698.7	4,655.1	20,069	19,930	65,543	2,448.3
2015	31,781.1	4,931.2	21,756	21,587	69,226	2,476.4
2016	34,831.5	4,856.1	23,638	23,446	73,675	2,390.2
2017	36,952.8	5,321.7	26,107	25,922	88,432	2,505.6
2018	40,098.0	5,563.9	27,877	27,666	93,220	2,640.9
2019	43,621.8	6,791.9	29,570	29,349	95,648	2,619.7
2020	53,688.5	8,448.1	39,483	39,231	118,372	2,773.3
2021	57,410.8	12,696.5	46,892	46,636	134,534	3,097.8
2022	57,505.3	6,990.0	50,299	50,029	144,345	3,118.8
2023	58,884.0	7,845.4	52,562	52,287	160,301	3,305.7
2024	60,251.2	8,051.0	56,985	56,575	169,070	3,465.7
2025	61,751.2	8,230.4	61,720	61,150	177,748	3,625.3
2026	63,224.8	8,456.1	66,904	66,151	186,781	3,790.0
2027	64,949.3	8,625.2	72,748	71,771	196,913	3,975.1
2028	66,514.8	8,863.4	77,464	76,285	205,302	4,129.8
2029	68,091.9	9,015.2	81,658	80,281	213,010	4,273.4
2030	69,774.5	9,346.0	85,983	84,388	220,870	4,420.7
2031	71,484.9	9,579.7	90,588	88,755	228,556	4,565.4

Note

Figures are inflation adjusted to 2025

Industry Data

Annual Change

Year	Revenue %	IVA %	Estab. %	Enterprises %	Employment %	Wages %
2005	N/A	N/A	N/A	N/A	N/A	N/A
2006	29.4	22.7	8.3	8.2	7.5	6.8
2007	18.4	4.4	11.3	11.3	6.4	2.3
2008	5.8	10.4	0.5	0.7	14.1	20.5
2009	8.7	9.5	-3.8	-3.8	-6.0	1.9
2010	15.1	3.6	-1.0	-0.9	-4.9	-0.4
2011	16.4	9.0	14.4	14.5	3.7	5.5
2012	15.6	16.7	13.8	13.9	10.5	20.6
2013	14.2	9.9	4.2	4.3	5.1	3.7
2014	11.3	12.8	6.0	6.0	4.7	4.8
2015	7.0	5.9	8.4	8.3	5.6	1.1
2016	9.6	-1.5	8.7	8.6	6.4	-3.5
2017	6.1	9.6	10.4	10.6	20.0	4.8
2018	8.5	4.6	6.8	6.7	5.4	5.4
2019	8.8	22.1	6.1	6.1	2.6	-0.8
2020	23.1	24.4	33.5	33.7	23.8	5.9
2021	6.9	50.3	18.8	18.9	13.7	11.7
2022	0.2	-44.9	7.3	7.3	7.3	0.7
2023	2.4	12.2	4.5	4.5	11.1	6.0
2024	2.3	2.6	8.4	8.2	5.5	4.8
2025	2.5	2.2	8.3	8.1	5.1	4.6
2026	2.4	2.7	8.4	8.2	5.1	4.5
2027	2.7	2.0	8.7	8.5	5.4	4.9
2028	2.4	2.8	6.5	6.3	4.3	3.9
2029	2.4	1.7	5.4	5.2	3.8	3.5
2030	2.5	3.7	5.3	5.1	3.7	3.4
2031	2.5	2.5	5.4	5.2	3.5	3.3

Note

Figures are inflation adjusted to 2025

Key Success Factors

How do successful businesses overcome volatility?

Control inventory

Using data analytics to predict trends, implementing just-in-time inventory systems, diversifying suppliers and maintaining agile supply chain practices to quickly adjust stock levels helps overcome inventory volatility in online women's clothing sales.

Develop a strong market profile

Developing a strong market profile involves robust market research, targeting specific customer segments, diversifying offerings, building brand loyalty, leveraging data analytics and maintaining agility to adapt to market changes to overcome volatility.

What products or services do successful businesses offer?

Offer a competitively priced product

Offering competitively priced products through strategic pricing, bulk purchasing, efficient supply chains and regular promotions ensures affordability without compromising quality, attracting price-sensitive customers and driving success in the market.

Provide superior after-sales service

Offering hassle-free returns, prompt customer support, personalized follow-ups and loyalty rewards ensures customer satisfaction, fosters trust and encourages repeat purchases, driving success for online women's clothing retailers.

How do businesses use location to their advantage?

Ensure accessibility to consumers and end-users

Strategically placed warehouses, local carrier partnerships and convenient return options ensure fast delivery and easy access for consumers, enhancing customer satisfaction and overall accessibility in the online women's clothing sales market.

Operate in a location that is close to key suppliers

Online women's clothing retailers benefit significantly from operating near key suppliers by strategically locating their warehouses, leveraging local networks and using advanced inventory systems. This proximity allows faster and more efficient restocking, reduced shipping times and improved customer satisfaction.

How do successful businesses handle concentration?

Use aggressive marketing techniques

Online retailers employ aggressive marketing strategies like targeted social media advertising, influencer partnerships, email marketing campaigns, SEO optimization and flash sales to maintain robust customer engagement and enhance brand visibility.

Leverage product design, quality and brand strengths

Successful online women's clothing retailers leverage product design, quality and brand strengths by continually innovating, ensuring high-quality standards, fostering strong brand identity and engaging with customers to build loyalty and differentiate from competitors.

How can potential entrants overcome barriers to entry?

Develop marketing expertise

New entrants can leverage targeted digital marketing strategies, influencer partnerships and social media engagement to build brand awareness. Data analytics, SEO and personalized content can effectively attract and retain customers, overcoming initial market entry challenges.

Generate repeat customers

Offering personalized shopping experiences, loyalty programs and high-quality customer service fosters repeat customers, ensuring long-term satisfaction and engagement while differentiating the brand in the competitive market.

How do successful businesses compete with substitutes?

Generate positive word-of-mouth recommendations

Offering exceptional customer service, high-quality products, engaging social media presence and personalized experiences encourages satisfied customers to share positive word-of-mouth recommendations organically and enthusiastically, helping businesses compete with substitutes effectively.

Conduct market research

Online women's clothing retailers use surveys, focus groups, social media analytics and competitor tools for market research. This data helps them offer unique products, personalized marketing and enhanced customer experiences to stand out from substitutes.

How do successful businesses manage buyer & supplier power?

Develop links with suppliers

Developing strong links with suppliers involves fostering robust relationships, negotiating favorable terms, collaborating on innovative solutions, ensuring consistent communication and building mutual trust. These efforts result in stable supply chains and shared benefits for both parties.

Develop a loyal customer base

Creating a loyal customer base through exceptional service, personalized experiences and consistent quality reduces dependency on single buyers. Loyalty programs and engagement strategies foster long-term relationships, effectively balancing buyer power.

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